

- **Happy bank managers**

With lower debt, you are a more desirable candidate for the loan amount you desire. Your borrowing capacity increases as your personal debt level falls, because banks and creditors look more favourably on candidates with reduced debt. In layman's terms, without debt, you are seen as less dodgy.

A note on financial stress

The Australian Bureau of Statistics defines financial stress in two ways; if some of these experiences apply to you, you are likely feeling the pinch, and you are not alone.

Financial stress experiences:

- Unable to raise \$2000 in a week for something important
- Spent more money than received
- Could not pay gas, electricity or telephone bill on time
- Could not pay registration or insurance on time
- Pawned or sold something
- Went without meals
- Unable to heat home
- Sought assistance from welfare or community organisations
- Sought financial help from friends or family.

Missing-out experiences:

- Could not afford a holiday for at least one week a year
- Could not afford a night out once a fortnight
- Could not afford friends or family over for a meal once a month
- Could not afford a special meal once a week
- Could only afford second-hand clothes most of the time
- Could not afford leisure or hobby activities.

Source: ABS Household Expenditure Survey,
Australia, Summary of Results, 2015–16